

Several issues in wealthy families cause their riches to disappear:

1. Families fight

Tolstoy is spot on when he says that “all happy families are alike; each unhappy family is unhappy in its own way.” Bickering family members can’t decide on how a *family firm* will manage the business or on the appropriate investment style for the family office. In the worst case, millions are spent on deadweight legal fees as the parties wrangle in court. The wealthy need to pay attention to *succession planning*, and grooming their children in handling wealth, shepherding it, and managing it. Investing the nest eggs of high net worth individuals is as much about psychology as finance.⁶⁸

2. Nepotism

Just because the family is wealthy doesn’t mean that a family member should manage its assets. Families are better off using professional management—in their firms, their foundations, and in managing their fortunes. A family member could be, but probably is not, the best person for the job. Pérez-González (2006) and Bennedsen et al. (2007) show convincingly that favoring family members hurts the performance of family firms; outside CEOs generally perform much better than next-generation family CEOs inheriting the mantle. Yet families are reluctant to hire outsiders. Even the founding CEOs tend to hang on too long as their skills atrophy or become irrelevant to a changing firm. Not surprisingly, stock prices tend to jump when a corporate founder dies.⁶⁹

3. Lack of diversification

It can be counterintuitive for rich individuals to realize that preserving wealth involves holding well-diversified portfolios that have exposure to different factor risk premiums. They created their wealth by doing just the opposite: holding highly concentrated positions in a single business. Athletes, models, and to a lesser extent actors, dancers, and musicians are similar to SWFs in that they generate their wealth relatively suddenly and then have to plan carefully so that the money will last.⁷⁰ Timor-Leste’s Petroleum Fund diversifies away from oil and gas wealth to other assets. Diversification reduces risk and improves returns, as shown in chapter 3.

⁶⁸ See “Stay the Course? Portfolio Advice in the Face of Large Losses,” Columbia CaseWorks, ID #110309. Economics has a literature on the governance of family firms. See the summary written by my colleague Daniel Wolfenzon at Columbia Business School, Bennedsen, Pérez-González, and Wolfenzon (2010).

⁶⁹ This is shown in a famous paper by Johnson et al. (1985).

⁷⁰ It is a myth that most lottery winners blow through all their winnings. While this certainly happens to some of them, most winners do not engage in lavish spending sprees, as Kaplan (1987) and Larsson (2011) report. Kaplan also finds “winners were well-adjusted, secure and generally happy from the experience.” (Surprise, surprise.)